

# Zenta Group Company Limited

Nasdaq: ZTG · A nine-employee Macau consulting-turned-"fintech" micro-cap that ran +350% then -92% in three weeks — on no disclosed news

## HIGH RISK

Rating: Avoid

## +350% / -92%

Aug 2026 round trip

## 4 customers

= 96% of revenue

## US\$159K

Cash at 31 Mar 2026

### Subject

Zenta Group Co. Ltd (Cayman)

### SEC CIK

0002011458

### Listed

Nasdaq Capital Market · 9 Sep 2025

### Report date

26 August 2026

This is an independent **forensic investigation** of Zenta Group Company Limited, assembled entirely from public records — SEC filings (EDGAR, CIK 2011458), company press releases, and third-party market data. It carries a rating of **HIGH RISK — Avoid** (§13). Its purpose is to document, in one place, the structural, governance, disclosure, and financial patterns that, *in our view*, a diligent investor, counterparty, or regulator should weigh. Every transaction described was disclosed by the company itself; the analysis concerns the *economic pattern* those disclosures form, not any concealed conduct. **Nothing in this report alleges fraud or unlawful conduct by Zenta Group, its officers, its shareholders, or its counterparties.** Where the record is silent we say "not found"; where we infer, we hedge. In fairness, we record what cuts the other way too — the offering was 100%

primary with no insider selling, no pre-IPO dividends, no litigation, and no promotion trail was located (§10) — and we say so plainly. In particular, **no evidence ties any identified person to the August 2026 trading**; the company itself has stated it knows of no undisclosed material information explaining it.

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# Executive Summary

**US\$3.16M**

FY2025 REVENUE

**~US\$12.0M**
MARKET CAP (25 AUG  
26)
**9**
FULL-TIME  
EMPLOYEES
**US\$0.75–**
**12.25**

52-WEEK RANGE

Zenta Group Company Limited is a Cayman Islands holding company for a **nine-employee Macau consulting business** (one leased office; three operating subsidiaries acquired as dormant shells for ~US\$12,500 each) that listed on the Nasdaq Capital Market on **9 September 2025 at US\$4.00 per share** — a ~US\$47M valuation on ~US\$1.0M of net income — through sole underwriter **Cathay Securities, Inc.** The ticker was **ZGM** until it was changed to **ZTG** in April 2026.

**The event that defines the file.** Eleven months after listing, in August 2026, the stock rose **~350% in ten sessions to an all-time high of US\$12.25** (12 Aug) on **no disclosed news** — the company filed a "no news" 6-K on 7 August stating it was aware of no undisclosed material information — and then **collapsed ~92% in six sessions to an intraday US\$0.75** (20 Aug). It closed 25 August at US\$1.02. Both the high and the low were set within the same nine trading days.

In our view the public record forms a coherent pattern, each strand evidenced in the sections that follow: (1) the operating business is **four customers = 96% of revenue and 100% of receivables**, routed through **one supplier** whose products the company first resold, then bought; (2) **~5.75% of pre-IPO equity was promised to unnamed "consultants"** on the eve of effectiveness; (3) **~90% of IPO net proceeds left within ~25 days**, overwhelmingly into multi-year prepaid "marketing and consultancy" contracts with counterparties the filings never name, plus a growing seven-figure deposit to a **CEO-controlled entity** for an unnamed acquisition; (4) the **auditor was dismissed six weeks after listing**, and a December 2025 recap installed **50-vote Class B super-shares and a five-year discretionary reverse-split authority**; and (5) the financials show **income without cash** — FY2025 net income US\$1.0M against operating cash flow of **–US\$3.66M**.

We did **not** find litigation, SEC enforcement, a Nasdaq deficiency notice, going-concern language, insider selling into the IPO, or direct promotion evidence. Those absences are reported in §10 and materially temper the thesis. This is a **pattern case, not a smoking-gun case**; on the balance of the structural risks it documents, we rate ZTG **HIGH RISK — Avoid** (§13).

## Findings at a Glance

Nine concern clusters surfaced by this investigation. Each is evidenced in the sections that follow.

01

### A business that is a point, not a company

Nine employees; four customers = 96% of revenue / 100% of receivables; one supplier behind the entire product line.

02

### ~5.75% of equity to unnamed consultants

~579,800 shares (~US\$2.3M at IPO) promised to a "Consultant" and "Consulting Company" days before effectiveness; recipients never named.

03

### ~90% of net proceeds out in ~25 days

US\$3.87M of ~US\$4.28M deployed Sep 5–30, 2025 — mostly into US\$3.9M of unnamed-counterparty prepaid contracts.

04

### Related-party deposit to a CEO entity

"Good-faith deposit" to ZentoAI Company Limited (CEO-controlled) grew to US\$1.02M for an unnamed acquisition target.

05

### Income without cash

FY2025 net income US\$1.0M vs operating cash flow –US\$3.66M; cash fell US\$1.04M → US\$159K by 31 Mar 2026.

06

### Auditor swapped six weeks post-IPO

WWC, P.C. (California) dismissed Oct 2025; small Malaysia-based firm installed; no reason stated, no disagreements claimed.

07

### 50-vote dual-class recap + reverse-split authority

Dec 2025 EGM: CEO block → Class B @ 50 votes (~98.3% of votes on ~54% economics); 2:1–20:1 split pre-armed for 5 years.

08

### Contract-date inversion & a 3.7× cost gap

Client contracts predate supplier contracts by six weeks; a core intangible booked at US\$192,735, later US\$701,835 — unreconciled.

09

### A +350% / -92% no-news round trip

Ten-session melt-up to US\$12.25 then -92% in six — on a ~4M-share float the issuer itself formally declined to explain.

## 03 — BASIS

# Basis of Investigation

At its 12 August 2026 high, ZTG's ~11.8M shares implied a market capitalization near **US\$145M**. In our view the public record describes a business those numbers cannot support: **nine employees** in one Macau office (total FY2025 compensation US\$285,067); **US\$3.16M of revenue from four customers**, sourced through one supplier, ~96% denominated in CNY; **US\$159,299 of cash** at the last reported balance-sheet date against a US\$1.14M half-year operating outflow; and a first-half swing to a **net loss** with revenue down 40%.

The -92% collapse into 21 August largely closed the price/fundamental gap. What remains forward-looking is the **structural setup**, and it is the reason this document exists: a stock that has now closed below US\$1.00, a **five-year board-discretion reverse-split authorization** already in hand, **1.02 billion authorized shares** against 11.8M outstanding, a **50:1 dual-class structure that makes dilution costless to control**, ~US\$4.1M of prepaid contracts running to FY2030 with unnamed counterparties, a growing seven-figure deposit with a CEO-controlled entity for an unnamed acquisition, and a foreign-private-issuer regime that requires no further financials until the next annual report.

**What this investigation is, and is not.** It is a structured reading of disclosed economics against a forensic due-diligence checklist. It is *not* an allegation that any transaction was unlawful — each was disclosed by the company — nor a claim to know who traded the stock in August. Phrases such as "in our view," "appears consistent with," and "raises questions" denote opinion, not statements of fact.

## 04 — THE OFFERING

# The IPO & the Consultant Shares

Offering mechanics (424B4, 9 September 2025, acc. 0001493152-25-012859; 6-Ks of 11 September and 9 October 2025):

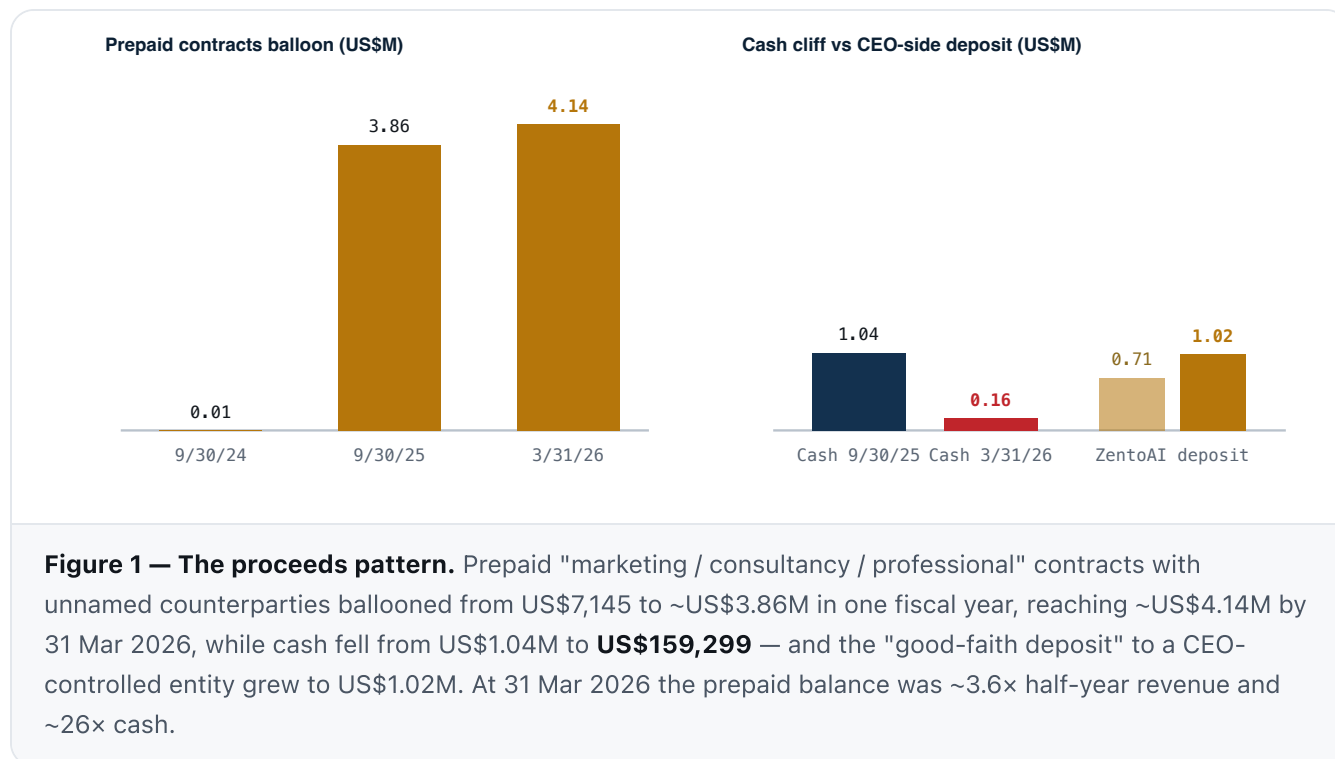
| ITEM                    | DETAIL                                                                                                   |
|-------------------------|----------------------------------------------------------------------------------------------------------|
| Total offering          | 1,500,000 shares @ US\$4.00 = US\$6.0M gross (100% primary; priced at the bottom of the US\$4–5 range)   |
| Over-allotment          | 225,000 shares @ US\$4.00, exercised in full, closed 8 October 2025 (+US\$0.9M)                          |
| Net proceeds to company | <b>~US\$4.28M</b> (7% discount + 1% non-accountable allowance + ~US\$1.24M expenses ≈ 21% of base gross) |
| Underwriter             | Cathay Securities, Inc. (sole; firm commitment; 12-month right of first refusal)                         |
| Registration            | Confidential DRS May 2024 → 5 SEC comment letters → effective 5 September 2025                           |
| Post-IPO shares         | 11,808,839 (public float ~13%)                                                                           |

Stated use of proceeds: ~40% "developing our fintech business," ~20% regional growth, ~10% brand and team, balance working capital — with management retaining "significant flexibility and discretion."

**~5.75% of pre-IPO equity promised to consultants no filing names.** Prospectus footnotes disclose that on **24 June and 2 July 2024**, Lone Group Company Limited — the CEO's 76%-owned vehicle and 53.04% pre-IPO holder — agreed to transfer **4% and 1% of the post-offering enlarged share capital** (together ~5.75% of pre-IPO shares, ~579,800 shares, ~US\$2.3M at the IPO price) to an unnamed **"Consultant"** and **"Consulting Company,"** at least one day before effectiveness, as compensation for services described as helping "generally guide" the Lone vehicle. The recipients are **never named in any filing**; no Schedule 13D/G or Form 3 from them exists on EDGAR. The insider lock-up covered directors, officers and 5%+ holders for six months (waivable by the underwriter); sub-5% transferees are not stated to be locked up. We make no claim about what these holders did — we note only that the free-trading supply behind a ~4M-share float is *not fully accounted for by named parties*.

## Where the Money Went

All figures from the company's FY2025 20-F (filed 20 January 2026) and H1 FY2026 interim 6-K (filed 14 August 2026).



### Ninety percent in twenty-five days

Item 14.E of the 20-F: from effectiveness (5 September 2025) to fiscal year-end (30 September 2025), the company used **"approximately US\$3.87 million"** of the ~US\$4.28M net proceeds. The same 20-F states none of it went directly or indirectly to directors, officers, 10% holders, or affiliates.

**The prepaid balloon.** Prepaid expenses: US\$7,145 (9/30/24) → **US\$3,856,570** (9/30/25) → US\$4,136,815 (3/31/26), majority non-current, described as prepaid marketing, consultancy and professional fees "paid upfront under contracts with terms generally ranging from one to five years," amortizing to FY2030/31. **The counterparties are not named anywhere in the filings.**

**The related-party deposit.** A "good-faith deposit" paid to **ZentoAI Company Limited — controlled by CEO Ng Wai Ian** — "pursuant to the acquisition intention agreement for a target company" (unsecured, non-interest-bearing, refundable): US\$706,694 at 9/30/2025,

**US\$1,020,850 at 3/31/2026.** The target is not named, no timeline is disclosed, and the 14 August 2026 subsequent-events note reports no update. The deposit is **~6.4× the company's entire cash balance** on the same date. Separately, the H1 FY2025 cash-flow discussion describes US\$740,941 of investing outflows as "primarily reflecting financings provided to a related party."

**The result.** FY2025 net income US\$1.0M against FY2025 operating cash flow of **–US\$3.66M**. Cash: US\$1.04M (9/30/25) → **US\$159,299 (3/31/26)**. Management's liquidity language rests in part on "financial support from our related parties and major shareholders."

## 06 – BUSINESS

# The Business: One Supplier, Four Customers, Six-Week-Early Contracts

**Revenue pivoted overnight.** FY2023: US\$863K of consulting/brokerage fees (top-5 customers 67%; two of the top five "controlled by a same shareholder," per the prospectus). The "algorithm and big data" fintech line launched January 2024 and was 70.5% of revenue by FY2024 and **95.6% by FY2025**. Legacy lines (investment brokerage, project research) each ran 0–4 discrete projects per year and have gone to zero or near-zero.



**Guo Yan Innovation Technology (Macau) Co. Ltd.**

Sole supplier · "2 fintech platforms + 6 AI models"

**Zenta Group Company Limited**

Cayman · Nasdaq: ZTG · 9 employees, Macau · first *resold* supplier products for commission (Jan 2024), then *bought* them for US\$1,158,243 (Aug 2024)

**Shenzhen Cloud Computing Pte Ltd**

"CAI" · Customer A ≈ 51% of revenue

**Jiangxi Muhe · Jiangxi Zongjia Haotian · Peiyu (Shenzhen)**

Customers B–D

**Figure 2 — The revenue loop (per 424B4 & FY2025 20-F).** One supplier behind the entire product line; four PRC-named customers = **96% of revenue and 100% of receivables**. The exhibit index shows **Client Agreements dated 15 January 2024** predating the **Supplier Agreements dated 26 February 2024** by **six weeks** — the company contracted to sell before it contracted to buy. ~96% of FY2025 revenue was CNY-denominated.

**Resold, then bought — from the same "third-party vendor."** Per the prospectus the fintech business began by "supplying fintech products offered by our supplier, Guo Yan... We do not pay any fees to our supplier, and receive commission based on successful engagements." Then on 5 August 2024 the company **bought "2 fintech platforms and 6 AI models" from that same sole supplier for US\$1,158,243**, initially booked as a payable; the 20-F calls the seller "a third-party vendor."

**The customers.** FY2025 concentration note: Customer A 51% of revenue / 61% of receivables; Customers A–D together **96% of revenue and 100% of receivables**. H1 FY2026: two customers = 81% of revenue. The lead client, "**Shenzhen Cloud Computing Pte Ltd.**" (abbreviated "CAI"), carries a Shenzhen name with a Singapore corporate suffix and a non-matching acronym. The company's principal tax charge is **PRC withholding tax** (US\$309,649 in FY2025) while its Macau subsidiaries accumulate tax losses (US\$969,444 of NOLs, fully reserved) — a nine-person Macau company whose economics sit almost entirely in cross-border billings to a handful of PRC-named entities.

**A 3.7× unreconciled cost for the core intangible.** The blockchain system cost US\$212,008 (July 2025); lifetime blockchain revenue across three periods totals US\$82,079, including **zero in H1 FY2026**. The prospectus states the company "has not historically incurred significant expenditures on in-house research and development." The December 2025 model upgrade is disclosed at **US\$192,735 (MOP 1,545,000)** in the 20-F but **US\$701,835 (MOP 5,665,000)** in the interim 6-K seven months later — the same upgrade, 3.7× apart, with no reconciliation.

## 07 – FINANCIALS

# Financial Concerns

Audited FY2025 (20-F, year ended 30 September 2025) and unaudited H1 FY2026 (6-K, six months ended 31 March 2026).

| US\$                | FY2025             | H1 FY2026          | NOTE                         |
|---------------------|--------------------|--------------------|------------------------------|
| Revenue             | 3,160,000          | 1,150,000          | H1 revenue <b>−40.4%</b> YoY |
| Net income / (loss) | <b>~1,000,000</b>  | <b>(777,940)</b>   | Swing to a loss              |
| Operating cash flow | <b>(3,660,000)</b> | <b>(1,140,000)</b> | Income without cash          |
| Cash (period end)   | 1,040,000          | <b>159,299</b>     | −85% in six months           |
| Prepaid expenses    | 3,856,570          | 4,136,815          | Unnamed counterparties       |
| CEO-entity deposit  | 706,694            | 1,020,850          | Unnamed target               |

**Income without cash.** The single most important financial fact: FY2025 reported **net income of ~US\$1.0M** while **operating cash flow was −US\$3.66M** — a ~US\$4.7M gap. The reconciling items are precisely the balances above: cash paid out into multi-year prepaid contracts and a related-party deposit that sit on the balance sheet as assets rather than passing through the income statement. In H1 FY2026 the reported profit itself disappeared: a US\$777,940 net loss, with professional fees alone consuming ~91% of revenue.

By 31 March 2026 the company held **US\$159,299 of cash** against a US\$1.14M half-year operating outflow — i.e., roughly one-sixth of a single half-year's burn — while carrying US\$4.1M of prepaid contracts it cannot convert back to cash and a US\$1.02M deposit for an

acquisition it has not named. Management's stated liquidity plan leans on "financial support from our related parties and major shareholders."

We found **no going-concern qualification** in either the auditor's opinion or management's discussion — an absence we report plainly (§10), and one that is itself notable given the cash position.

## 08 — CONTROL

# Governance & Control

Within roughly three-and-a-half months of listing, the company reorganized its capital and voting structure in ways that, in our view, concentrate control and pre-arm dilution.

CEO-and-affiliate block: ~54% of the economics, ~98.3% of the votes

Economics

Class B block ~54%

public ~46%

Votes

Class B @ 50 votes/share ≈ 98.3%

6,367,680 shares recapitalized as Class B · 1.02B shares authorized vs 11.8M outstanding

**Figure 3 — The 19 December 2025 recap.** The CEO-and-affiliate block of 6,367,680 shares was converted into **Class B stock carrying 50 votes per share**, giving it ~98.3% of aggregate voting power on ~54% of the economics, while authorized capital was raised from 50M to **1.02 billion shares** and a **2:1-to-20:1 reverse split was pre-authorized at the board's sole discretion, valid five years** (6-K, 5 January 2026).

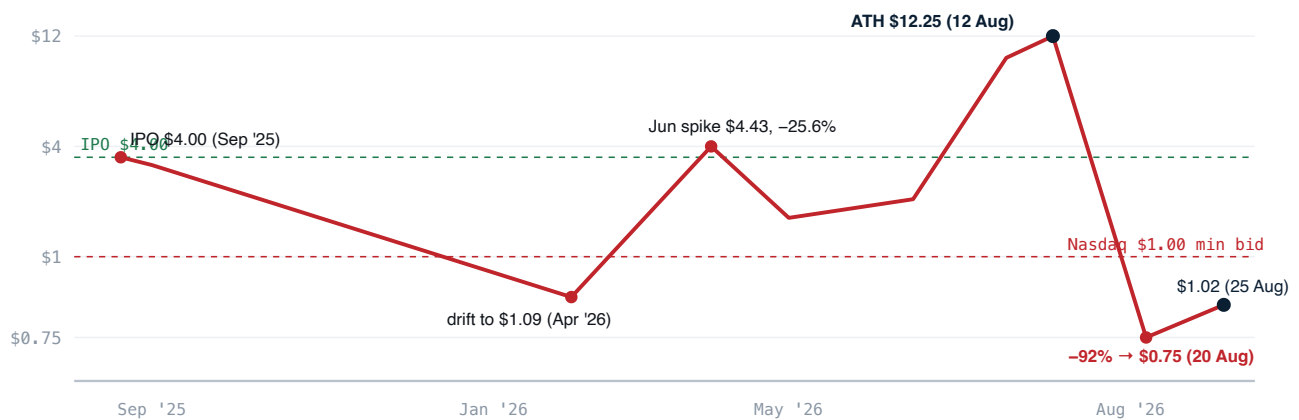
- **Auditor swapped six weeks after listing.** The IPO auditor **WWC, P.C.** (California) was dismissed ~24 October 2025 and replaced by a Malaysia-based firm (**WSJ & Partners**); no reason was stated and no disagreements were claimed. The change was disclosed on time, with WWC's Exhibit 16.1 letter concurring there were no disagreements (a point we credit in §10).
- **Dilution made costless to control.** 1.02 billion authorized shares against 11.8M outstanding, combined with 50:1 Class B voting, means the controlling shareholder can approve share issuance that dilutes economics without diluting control.
- **Reverse-split authority pre-armed.** A 2:1-to-20:1 consolidation executable at the board's sole discretion through late 2030 — a standing tool that becomes directly relevant the moment a bid-price deficiency clock starts (§9, §11).
- **Ticker change and late Forms 3.** The symbol was changed **ZGM → ZTG in April 2026** with no stated reason; six insider Forms 3 (initial ownership statements) were filed only in March 2026, six-plus months after listing.

- **Foreign-private-issuer opacity.** As an FPI the company files on 20-F / 6-K only — no 10-Q, insiders largely exempt from Section 16 Form 4 — and it can go until its next annual report without further audited financials.

## 09 — MARKET

# The August 2026 Price Event

On a ~4.08M-share float with **no analyst coverage** and 0.73% short interest (daily data via Yahoo Finance / TradingView / stockanalysis.com):



**Figure 4 — ZTG price path, Sep 2025 → Aug 2026 (log scale; stylized from disclosed daily waypoints).**

A drift from US\$4.00 to ~US\$1.09, an unexplained June spike to US\$4.43, then a ten-session melt-up to an all-time high of **US\$12.25 (12 Aug)** — cumulatively ~+350% on no disclosed news — followed by a **-92% collapse to US\$0.75 (20 Aug)** and a US\$1.02 close (25 Aug). *Waypoints are disclosed highs/lows; the intraday path between them is stylized.*

- **8–10 June 2026:** volume spiked to 12.4M shares (vs typical <50K), intraday high US\$4.43, then -25.6% — no filing or news accompanied it.
- **29 July – 12 August 2026:** US\$2.72 → +24.6% → +29.8% → (6 Aug) **+47.8% to US\$10.05** → all-time high **US\$12.25 on 12 Aug** — cumulatively **~+350% in ten sessions on no disclosed news**. The company's own 7 August 6-K, signed by the CEO, states it knows of no information explaining the move.
- **17–21 August 2026:** **-66.7%, -40.7%, -32.9%** on successive heavy-volume days; intraday US\$0.75 on 20 Aug. Peak-to-trough **-92% in six sessions**, again with no accompanying disclosure. Close 25 Aug: US\$1.02.

**Shape, not attribution.** We found **no evidence identifying who traded or why**, and no promotion campaign tied to ZTG. What the record establishes is the *shape*: a sub-US\$50M-float China-region micro-cap, a parabolic no-news rise the issuer itself disclaimed, and a near-total retracement inside two weeks — the profile at the center of the current wave of pump-and-dump securities litigation. The two sub-US\$1.00 closes since (21 Aug: US\$0.95; 24 Aug: US\$0.88) start no Nasdaq clock yet, but a **30-consecutive-day bid-price deficiency is now a live mechanical risk** — against a reverse-split authorization the board has held since December.

## 10 — COUNTER-EVIDENCE

### What We Did Not Find (Thesis-Tempering)

**Intellectual honesty — what cuts against the short archetype.** Reported in full because it materially tempers the thesis. This investigation is financial and structural; it is **not** an allegation of fraud.

- **No insider cash-out at the IPO.** The offering was 100% primary — no selling shareholders, no concurrent resale registration, and **no pre-IPO dividends** (filings affirmatively state none, FY2023–FY2025). The classic pre-IPO extraction arithmetic does not apply here.
- **No going-concern language** in either the auditor's opinion or management's discussion, despite US\$159K of cash at 31 March 2026.
- **No litigation, SEC enforcement, trading halt, Nasdaq deficiency notice, or law-firm investor alert** naming Zenta/ZTG was located as of 26 August 2026 — though the crash is one week old and filings could still emerge.
- **No direct promotion evidence** — no named Telegram/WhatsApp/boiler-room campaign, no paid-newsletter trail. The pump characterization above is **pattern inference, and is labeled as such**.
- **Receivables were collected** — the 20-F states all four concentration customers' balances had been collected by the report date; accounts receivable actually *fell* in FY2025.
- **The auditor change was disclosed on time**, with WWC's Exhibit 16.1 letter concurring that there were no disagreements.

# Catalyst Timeline

- **9–10 Sep 2025**  
IPO at US\$4.00 (Cathay Securities); first-day close US\$3.69 (–7.8%).
- **8 Oct 2025**  
Over-allotment closed (+US\$0.9M).
- **24 Oct 2025**  
**Auditor WWC, P.C. dismissed** six weeks post-IPO; Malaysia-based WSJ & Partners appointed — no reason stated (6-K, 12 Nov 2025).
- **19 Dec 2025**  
**EGM recap:** authorized capital 50M → **1.02B**; CEO block → **Class B @ 50 votes** (~98.3% of votes); **reverse split 2:1–20:1 pre-authorized**, 5-year board discretion (6-K, 5 Jan 2026).
- **20 Jan 2026**  
**FY2025 20-F** filed: net income US\$1.0M, operating cash flow –US\$3.66M.
- **23–24 Mar 2026**  
Six insider **Forms 3** filed — 6+ months after listing.
- **14 Apr 2026**  
Ticker changed **ZGM → ZTG**; no reason stated.
- **7 Aug 2026**  
**"No news" 6-K:** company aware of no undisclosed material information behind the "unusual market action... up to and including August 6, 2026."
- **12 Aug 2026**  
**All-time high US\$12.25** — ~+350% in ten sessions on no disclosed news.
- **14 Aug 2026**  
**H1 FY2026 interims:** revenue –40.4%, net loss US\$777,940, cash US\$159,299.
- **17–21 Aug 2026**  
**–92% in six sessions** to an intraday US\$0.75; close 25 Aug US\$1.02.

## Forward-looking catalysts

| CATALYST                | WINDOW                                           | MECHANICS                                                                                                           |
|-------------------------|--------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|
| Bid-price deficiency    | 30 consecutive closes < US\$1.00; two so far     | Deficiency letter → cure period → the pre-authorized 2:1–20:1 reverse split                                         |
| Reverse split           | Any time to Dec 2030                             | Board sole discretion; 1.02B authorized vs 11.8M out; 50:1 dual class makes dilution costless to control            |
| Cash exhaustion         | Now                                              | US\$159K cash (3/31/26) vs US\$1.14M half-year operating outflow; liquidity leans on "related-party support"        |
| Dilutive raise          | Any time                                         | No shelf on file yet; any F-3 / 424 filing is the tell                                                              |
| ZentoAI acquisition     | Unknown                                          | US\$1.02M CEO-side deposit for an unnamed target; a completed related-party deal would be the next disclosure event |
| Prepaid write-down      | FY2026 audit (first full year under new auditor) | US\$4.1M of unnamed-counterparty prepaids vs ~US\$12M market cap                                                    |
| Litigation / regulatory | Weeks–months                                     | Post-crash securities-suit and regulatory attention typical of the Aug 2026 pattern cohort                          |

## 12 – MATRIX

### Red-Flag Matrix

Severity reflects this investigation's view of each item's weight; "evidence" denotes how directly the public record supports it.

| FINDING                                                                      | CATEGORY                    | SEVERITY | EVIDENCE                     |
|------------------------------------------------------------------------------|-----------------------------|----------|------------------------------|
| ~90% of net proceeds deployed in ~25 days into unnamed-counterparty prepaids | Cash use                    | Critical | Documented (20-F)            |
| Income US\$1.0M vs operating cash flow –US\$3.66M                            | Financial                   | Critical | Documented                   |
| ~5.75% of equity to unnamed "consultants" pre-effectiveness                  | Related party / float       | Critical | Documented (424B4)           |
| 50:1 Class B recap + 1.02B authorized + 5-yr reverse-split authority         | Control / capital structure | Critical | Documented (6-K)             |
| Growing US\$1.02M deposit to CEO-controlled entity, unnamed target           | Related party               | High     | Documented                   |
| Four customers = 96% revenue / 100% receivables; one supplier                | Business substance          | High     | Documented                   |
| Client contracts predate supplier contracts by six weeks                     | Revenue quality             | High     | Documented (exhibits)        |
| Core intangible booked US\$192,735 then US\$701,835 — unreconciled           | Accounting                  | High     | Documented                   |
| Auditor dismissed six weeks post-IPO; small offshore replacement             | Audit                       | High     | Documented                   |
| +350% / –92% no-news round trip; issuer disclaimed knowledge                 | Market structure            | High     | Market data + 6-K            |
| Cash US\$159K vs US\$1.14M half-year operating burn                          | Liquidity                   | High     | Documented                   |
| Ticker change + Forms 3 filed 6+ months late                                 | Disclosure                  | Medium   | Documented                   |
| FPI opacity (no 10-Q / Form 4); Cayman minority protections                  | Disclosure                  | Medium   | Structural                   |
| Fits regulator-flagged China/HK small-cap IPO profile                        | Regulatory                  | Context  | Inference (no action vs ZTG) |



## Rating & Rationale

**Rating: HIGH RISK — AVOID.** On the structural, governance, cash-use, and disclosure patterns documented above, we assign ZTG our most cautionary rating. The rating is an assessment of *risk to capital*, not a price target and not a short recommendation — for the mechanical reasons set out below, we consider the equity uninvestable rather than shortable.

The rating rests on the forward-looking structural setup, not the price that has already fallen: a stock that has closed below US\$1.00, a **five-year board-discretion reverse-split authorization** already in hand, **1.02 billion authorized shares** against 11.8M outstanding, a **50:1 dual-class structure that makes dilution costless to control**, ~US\$4.1M of prepaid contracts running to FY2030 with unnamed counterparties, a growing seven-figure related-party deposit for an unnamed acquisition, US\$159K of cash against a US\$1.14M half-year operating burn, and an FPI regime that requires no further financials until the next annual report. Each is a documented mechanism by which remaining public capital can be impaired.

**Why "Avoid" and not "Sell/Short."** At US\$1.02 versus US\$12.25 two weeks earlier, **~92% of the collapse is already realized**, and any residual short competes with brutal mechanics: a ~4M-share float that has already shown +350% ten-session moves, likely punitive or absent borrow, no options, and a standing reverse-split authority that can reset the share count at any moment under ~98% insider voting control. The actionable output for most participants is therefore **avoidance** — of the equity, of any post-split re-promotion cycle, and of any related-party acquisition re-rating narrative.

**The benign reading, stated in fairness.** A young company that raised a modest primary round, sold no insider shares, paid no pre-IPO dividends, collected its receivables, filed on time, and answered an unexplained spike with a prompt "no news" statement. Concentrated customer/supplier books are common in early-stage B2B intermediation, and nothing in the record ties the company or its insiders to the August trading. The HIGH RISK rating reflects the *weight of the structural setup*, in our view — not a conclusion that any of these disclosed facts is unlawful.

## Conclusion

Applying a forensic checklist to Zenta Group produces a different archetype than the classic insider-exit IPO: here the public's money went **in** — and then, in our view, the record shows it going **out the side doors within weeks**. ~90% of net proceeds were deployed inside ~25 days, overwhelmingly into multi-year prepaid "marketing and consultancy" contracts with counterparties the filings never name, plus a seven-figure good-faith deposit to the CEO's own private entity for an acquisition the filings never describe.

Around that core sit the checklist's familiar accumulation: ~5.75% of the company promised to unnamed consultants on the eve of effectiveness; a revenue base of four PRC-named customers routed through one supplier whose products the company first resold, then bought; client contracts dated before supplier contracts; a 3.7× unreconciled discrepancy in the cost of the core intangible; an auditor swapped six weeks after listing; a 50-vote dual-class recap and five-year reverse-split authority armed 3.5 months after the IPO; and, eleven months in, a **+350% / -92% no-news round trip that the issuer itself formally declined to explain**.

Set against that: no insider selling, no pre-IPO dividends, no litigation, no promotion trail, collected receivables, on-time filings. In our view the record supports the conclusion that **ZTG's public listing has so far functioned as a funding and control structure, not an operating story** — a pattern judgment about disclosed economics, not an allegation of unlawful conduct. The checklist item that would have flagged this pre-IPO, in one line: **when a nine-employee company's F-1 discloses that 5.75% of its equity is going to consultants it will not name, for services it cannot specify, the offering's center of gravity is, in our view, self-describing**.

## Primary & Secondary Sources

1. SEC EDGAR — Zenta Group Company Limited, CIK 0002011458 (filing index): [sec.gov/.../CIK=0002011458](https://sec.gov/.../CIK=0002011458)
2. Form 424B4 — IPO prospectus, 9 Sep 2025 (acc. 0001493152-25-012859): offering mechanics, consultant-share footnotes, supplier/customer disclosure, use of proceeds.
3. Form 20-F — FY2025, filed 20 Jan 2026 (acc. 0001493152-26-002776): audited financials, Item 14.E use of proceeds, prepaid-expense & related-party deposit notes, customer/supplier concentration, auditor change.
4. Form 6-K — 11 Sep & 9 Oct 2025 (IPO closing, over-allotment); 12 Nov 2025 (auditor change); 5 Jan 2026 (EGM: 1.02B authorized, Class B 50-vote recap, reverse-split authority); 14 Apr 2026 (ticker change); 7 Aug 2026 ("no news"); 14 Aug 2026 (H1 FY2026 interims).
5. Insider Forms 3 — filed 23–24 Mar 2026.

6. Market data (price, volume, float, short interest, 52-week range): [stockanalysis.com](https://stockanalysis.com) · [Nasdaq.com](https://nasdaq.com) · [Yahoo Finance](https://yahoo.com) · [TradingView](https://tradingview.com) — as of 25 Aug 2026.

Figures are subject to data-source, rounding, period and currency-translation differences (USD / HKD / MOP / CNY; the company's September fiscal year). Some items are expressly flagged as unverified or "not found" and are presented as open diligence threads, not conclusions.

## Disclaimer

This document is an **independent forensic investigation** prepared for informational, analytical, and educational purposes only, based **solely on publicly available information**. It is **not** investment, legal, accounting, or tax advice, and is **not** an offer, solicitation, or recommendation to buy, sell, hold, or short any security. Nothing here should be relied upon as a basis for any investment decision. The "HIGH RISK — Avoid" rating is a statement of **opinion** about risk to capital, not a price target, a guarantee, or a recommendation to short, and reflects the author's analysis of public records as of the report date.

All statements reflect the **opinions, analysis, and inferences** of the author drawn from public sources believed to be accurate as of 26 August 2026 — including SEC filings, company press releases, and third-party data providers cited above. Phrases such as "in our view," "appears consistent with," "public records indicate," and "raises questions" denote opinion and analysis, **not** statements of fact. Named individuals and entities are discussed solely in connection with public records. **Nothing herein alleges that Zenta Group Company Limited, its officers, its shareholders, or its counterparties engaged in fraud or any unlawful conduct**; every transaction described was disclosed by the company in its own SEC filings, and we expressly note (§10) that no litigation, enforcement action, going-concern qualification, or promotion campaign against the company was identified. **No evidence ties any identified person to the August 2026 trading described in §9**, and the company itself has stated it is aware of no undisclosed material information explaining it.

The author has **not** independently audited the company, holds **no material non-public information**, and **may be wrong**. Figures are subject to data-source, rounding, period, and currency-translation differences. Some items are expressly flagged as unverified or "not found" and are presented as open diligence threads, not conclusions. Readers must conduct their own due diligence and consult appropriately licensed professionals before acting. **No fabricated evidence, manipulated images, or anonymous rumors were used in this report**. The author undertakes no obligation to update this document.